Expert Session on CVs

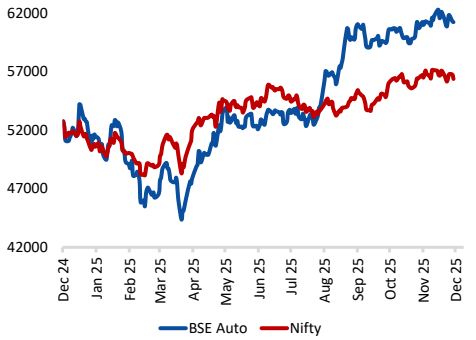
17 December 2025

Approaching the next CV upcycle: Early green shoots in CV demand

EXPERT CALL TAKEAWAYS

Industry	Autos

Nifty vs Auto index



Source: Bloomberg, Systematix Research

We hosted an expert call on commercial vehicle segment with an industry veteran having 17+ years of experience at leading CV OEM, to understand demand outlook for FY26 and beyond, any segment-wise trends across MHCVs and LCVs, the impact of regulations, structural shifts such as replacement demand & electrification and any key indicators that will determine the sustainability of the upcycle.

Key takeaways: 1. SCVs (0.5-2T) and LCVs (3-8T) show the strongest medium-term prospects, led by M&M in SCVs and increasing feeder demand from logistics restructuring, while MHCV growth is likely to remain structurally muted 2. Cyclical upcycle underway supported by GDP growth, GST rationalization, and softer interest rates, driving an expected 8 to 10% growth over the next 2 yrs. likely to normalize to a 5 to 6% CAGR through 2030. 3. Dedicated Freight Corridors (DFC) will structurally shift long-haul freight to rail, increasing first and last-mile demand, supporting sustained growth in LCVs and ILCVs. 4. Scrappage policy remains ineffective as a demand lever due to low financial and weak operating cost benefits. 5. BS VII norms will distort demand temporally by raising vehicle costs and triggering pre-buying ~10–12% demand uplift. 6. Aggressive NBFC participation and selective private bank expansion are improving credit availability for LCVs/SCVs, though at sharply divergent interest rates, reflecting elevated risk in SCVs customer profiles. 7. CV exports are growing off a low base but remain non-core (~5% of volumes) due to limited scale, weak visibility, and regulatory constraints (BS VII). 8. Electrification is gaining meaningful traction across LCVs, ILCVs, and buses due to predictable routes and policy support, while MHCV electrification remains a challenge constrained by battery economics, payload loss, and charging infrastructure gaps. 9. Technology-led premiumisation is reshaping fleet buying behavior favoring higher specs, software-enabled vehicles to optimize payload, fuel efficiency, uptime, and compliance. 10. Inventory levels in the system remains elevated across OEMs and fleet operators with no near term supply shortage. In CV segment, we prefer M&M & Tata Motors due to its exposure in LCVs & SCVs. (Note: we are Not Rated on the above stocks).

Commercial Vehicle Landscape

The commercial vehicle (CV) market is highly competitive, with multiple OEMs adopting distinct product portfolios and sales strategies, leading to frequent shifts in market share, especially with the launch of new models.

Tata Motors is the overall market leader, holding ~33–35% share, though this fluctuates with quarterly volumes. Other key players include Ashok Leyland, Mahindra & Mahindra, Eicher, and Daimler BharatBenz.

MHCV segment Tata Motors has historically been dominant, once commanding 60–62% share, but currently holds ~30–35%, broadly on par with Ashok Leyland. Daimler BharatBenz and Eicher have been steadily gaining ground, particularly in long-haul and construction trucks. Competitive intensity is rising, with Tata Motors facing sustained pressure from rivals expanding product offerings and service networks especially Ashok Leyland in North India.

Bus segment is fragmented and less lucrative due to margin constraints imposed by State Transport Undertakings (STUs). STUs primarily demand MHCV buses, while the

Vaibhav Gupte
vaibhavgupte@systematixgroup.in
+91 22 6704 8039

Abhishek Mathur
abhishekmathur@systematixgroup.in
+91 22 6704 8059

Harsh Kubadia
harshkubadia@systematixgroup.in
+91 22 6704 8069

Investors are advised to refer disclosures made at the end of the research report.

retail market focuses on LCV buses such as school buses. Tata Motors and Ashok Leyland remain the key players here.

SCV segment Mahindra & Mahindra dominates with ~55–60% market share, driven by products like the Bolero range, followed by Tata Motors with around 40%.

LCV segment remains intensely competitive, with Tata Motors maintaining a strong position while Eicher disrupts the market through aggressive expansion into higher-tonnage vehicles.

Regionally, North India is dominated by Tata Motors, South India by Ashok Leyland, and West India by Ashok Leyland and Eicher.

Overall, the market remains extremely competitive, with SCVs showing a particularly robust outlook, led by Mahindra & Mahindra.

Outlook

- CV demand is cyclical in nature with typical strong upcycle for three to four years followed by sharp market correction.
- Near term demand driver could be- strong GDP growth, GST rationalization and softer interest rates improves affordability and lowering financing cost for fleet operators. This expected to translate in to strong demand over the next 2 years with CV volumes anticipated to grow around 8–10%. Beyond this period, growth is likely to normalize with overall industry expected to deliver a steady CAGR of approximately 5 to 6% until 2030.

Changing dynamics of India freight logistics market:

- Government of India is investing in Dedicated Freight Corridors (DFCs) for exclusive freight movement. Eastern DFC connects Punjab to West Bengal; Western DFC links Delhi to Maharashtra.
- DFCs aim to reduce transit time and logistics costs, improving efficiency for manufacturers and traders.
- Enhanced rail freight will strengthen first-mile and last-mile connectivity needs.
- Demand for LCVs and ILCVs is expected to increase due to higher feeder traffic.
- MHCV demand may moderate as a larger share of long haul (second-mile) freight shifts from road to rail.

Government Policies

On Emission Standards

- The upcoming Bharat Stage VII emission norms is expected to increase costs for CV OEMs with limited margin headroom. OEMs are likely to pass on higher costs to consumers.
- As the implementation nears, pre-buying is expected to accelerate. Pre-buying could drive a short-term CV demand uptick of ~10–12%, ahead of higher BSVII vehicle prices.
- The government is promoting hydrogen as an alternative fuel for CVs.
- Adoption of hydrogen vehicles will depend on the pace and scale of hydrogen infrastructure development by government and private players.

On Scrappage and replacement demand

- India's CV replacement rate remains low due to weak financial incentives for scrappage.
- Scrappage value (~5% of new vehicle price) under current policy is unattractive for fleet owners.
- Fleet operators prefer selling or extending the life of older vehicles over scrapping. Replacement decisions are driven by economics, not environmental considerations.
- Operating cost savings from newer vehicles are often insufficient to justify replacement.
- Higher scrappage incentives and stronger government support could meaningfully accelerate replacement demand.

Inventory levels

- There is no supply shortage in the market. Inventory levels in the system remains elevated across OEMs and fleet operators.
- Unlike previous cycles where OEMs faced supply constraints, the current scenario shows ample capacity to meet demand.
- A significant gap between demand and supply still exists, which needs to be absorbed before any meaningful recovery.
- A sustained upward market correction is unlikely in the near term and is not expected for the next 3–4 years.

Technology driven freight premiumisation

- Shift toward tech-led operations is driving freight premiumisation in commercial vehicle segment.
- Rising investment in software and digital technologies to improve freight efficiency and service quality benefits OEMs and logistics players with strong digital, connected, and analytics capabilities.
- Technology enables higher payload optimization, improved fuel efficiency, and better vehicle uptime.
- Helps in supporting compliance with stricter safety and regulatory requirements.
- Integrated logistics platforms and logistics centers improve load planning and destination optimization.
- Shift toward tech-led operations is driving freight premiumisation in commercial vehicle segment.
- Fleet owners increasingly adopting higher specification vehicles with software-enabled features improving operational reliability focusing on lowering total cost of ownership (TCO).

Commercial Vehicle Financing

- With MHCV growth muted, banks and financiers are becoming more aggressive in the ILCV and LCV segments to grow their loan books.
- There are now ~17–18 financial institutions actively willing to finance LCV/SCV purchases, leading to easier availability of credit.
- NBFCs (e.g., Shriram Finance, Chola Finance) are driving growth, showing higher risk appetite, especially toward retail, rural, and semi-urban profiles that were not financed 2–3 years ago.
- PSU banks and some large banks (ICICI, PSU lenders) remain relatively conservative toward LCV/SCV and rural borrowers.
- Private Banks like IndusInd Bank is particularly aggressive in ILCV and SCV, while HDB, HDFC, ICICI are also scaling up retail financing.
- NBFC loans carry very high interest rates (up to ~14%), while top-tier borrowers can access ~9% loans from banks like HDFC, highlighting a sharp risk-based pricing gap.
- Large fleet owners benefit from strong banking relationships, enabling lower-cost financing, even in a weak demand environment.
- In terms of risk profile, SCV customer profiles are weak and high-risk, often not fitting traditional loan criteria. LCV profiles are relatively better and more bankable.
- Aggressive NBFC expansion is pushing frontline banks (ICICI, HDFC, Bank of Baroda) to increase participation in ILCV/SCV financing.

Exports Opportunities

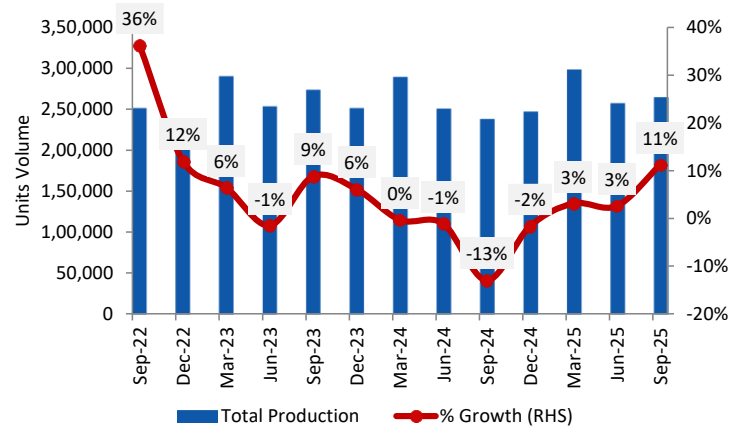
- Exports are primarily to the Middle East, Bangladesh, Nepal, and select SAAR countries.
- The overall export market remains relatively small (~5%), limiting scalability. Despite the small base, the companies reported strong growth in exports this quarter versus the same quarter last year.
- Export volumes are difficult to track on a deal-by-deal basis. Visibility is typically limited to large, publicly reported orders.
- Current exports are restricted to pre-BS6 / BS4-compliant buses, constraining future expansion unless product offerings are upgraded to international standards.

Electrification

- MHCV electrification remains challenging due to long haul usage pattern and large battery requirements causing weight and range constraints. For eg. A 100 kWh MHCV battery typically weighs 1 ton delivers only 30 to 35 km range. A 600–700 km long-haul routes requires higher capacity of battery scaling to 500 kWh will adds up to 5 ton, reducing payload and freight economics, while smaller batteries require frequent charging, making operations impractical due to downtime and lack of charging infrastructure.

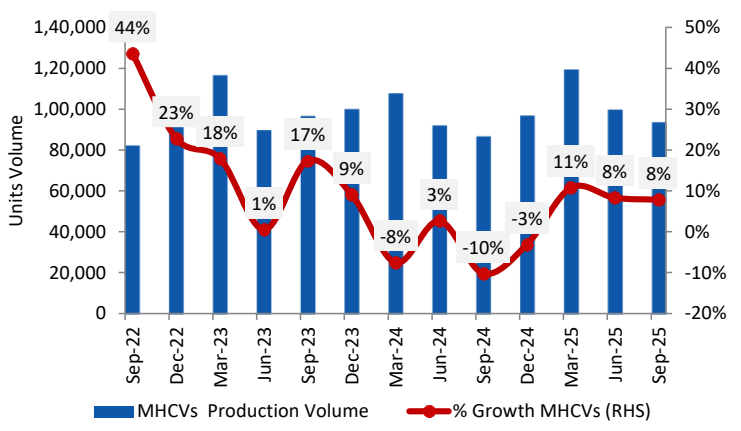
- Widespread charging infrastructure and high capacity fast chargers at every 45–50 km remains critical for MHCV EV adoption.
- For EVs to be competitive in MHCVs, they must match diesel vehicles in performance and total cost of ownership (TCO).
- EV adoption is much stronger in LCVs and ILCVs segment due to predictable routes, lower daily running, and economic viability for e-commerce and last-mile delivery.
- Rising demand for electric buses are fueled by government procurement initiatives and subsidy support.

Exhibit 1: Total Production of CVs



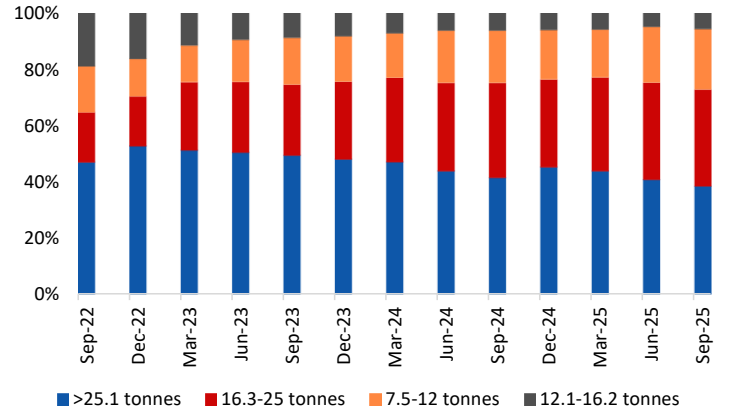
Source: Company, Systematix Research

Exhibit 2: Production of MHCVs



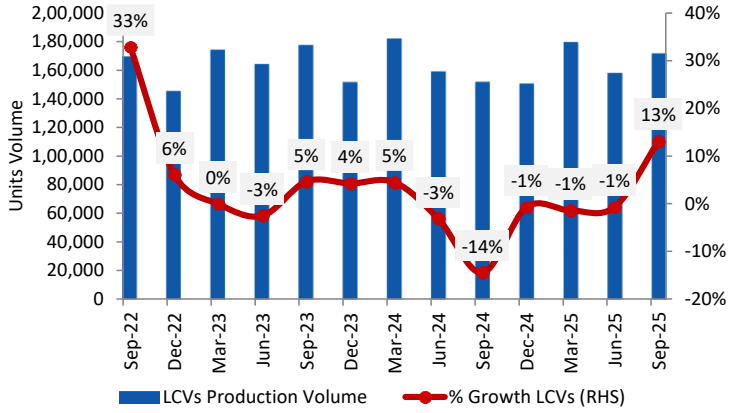
Source: Company, Systematix Research

Exhibit 3: Tonnage wise MHCV sales



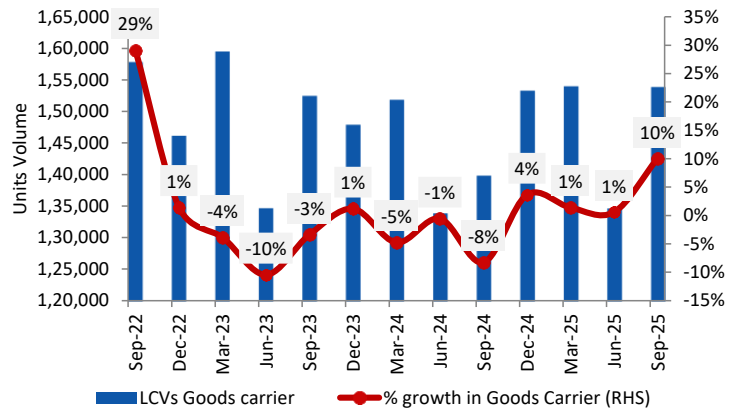
Source: Company, Systematix Research

Exhibit 4: Production of LCVs



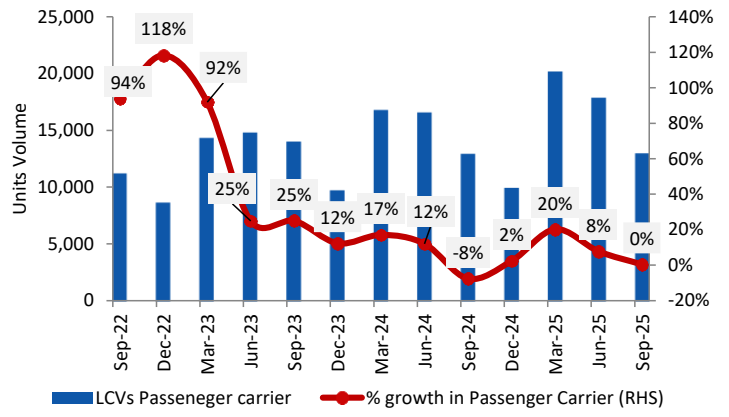
Source: Company, Systematix Research

Exhibit 5: LCVs Goods carrier sales



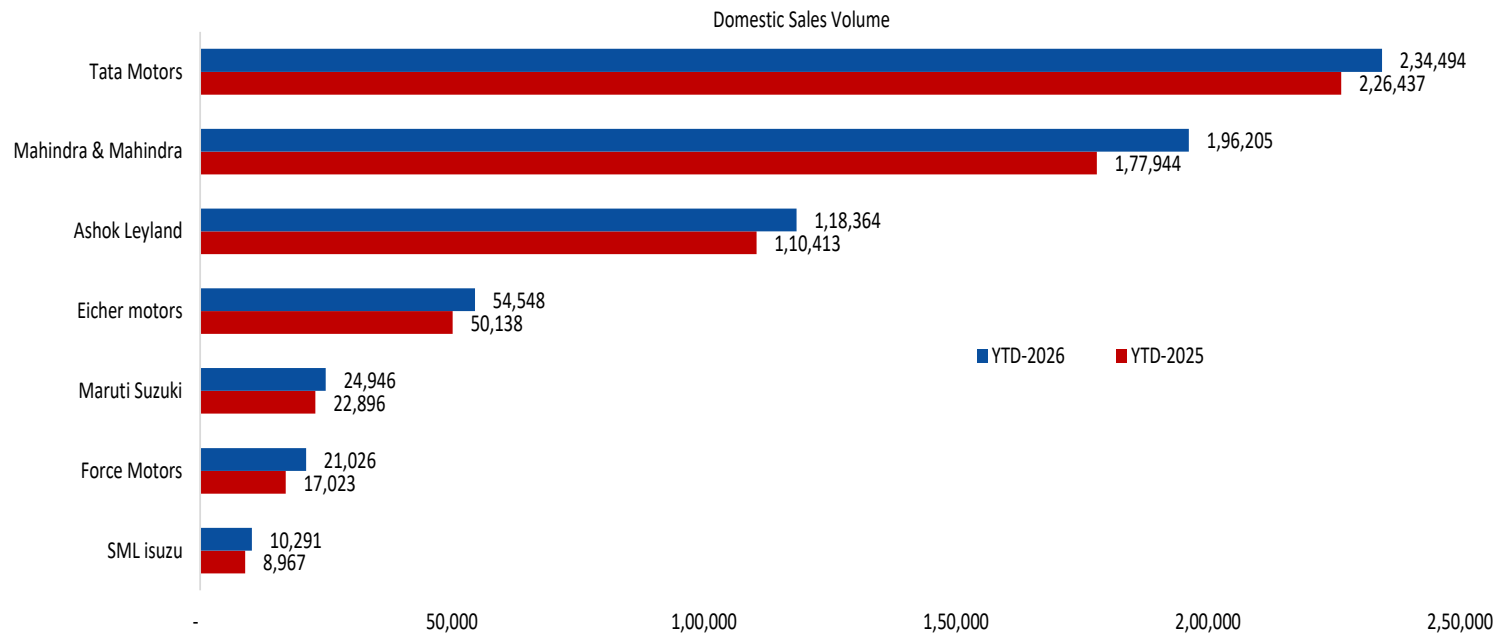
Source: Company, Systematix Research

Exhibit 6: LCVs Passenger carrier sales



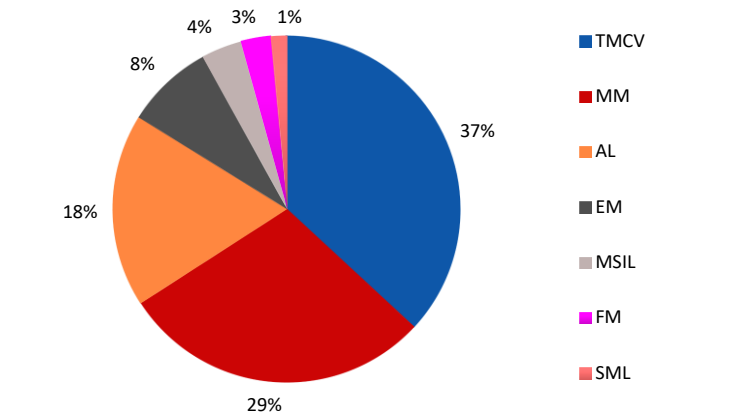
Source: Company, Systematix Research

Exhibit 7: Domestic Sales Volume by OEMs



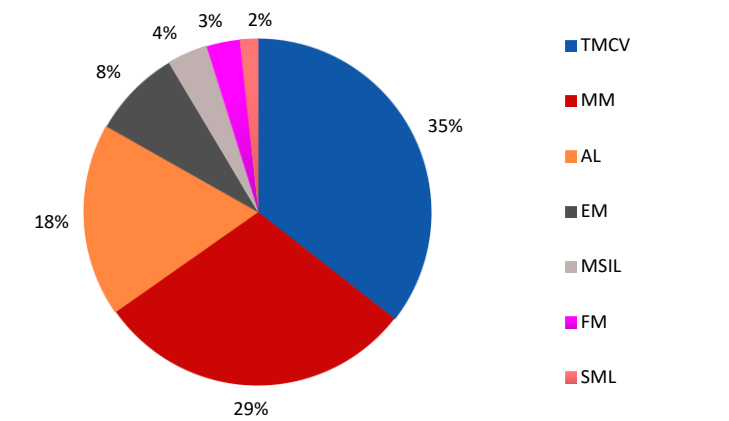
Source: Company, Systematix Research

Exhibit 8: Market Share FY26-YTD



Source: Company, Systematix Research

Exhibit 9: Market Share FY25-YTD



Source: Company, Systematix Research

DISCLOSURES/APPENDIX

I. ANALYST CERTIFICATION

I, **Vaibhav Gupte, Abhishek Mathur, Harsh Kubadia,** hereby certify that (1) views expressed in this research report accurately reflect my/our personal views about any or all of the subject securities or issuers referred to in this research report, (2) no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this research report by **Systematix Shares and Stocks (India) Limited (SSSIL)** or its group/associate companies, (3) reasonable care is taken to achieve and maintain independence and objectivity in making any recommendations.

Disclosure of Interest Statement	Update
Analyst holding in the stock	No
Served as an officer, director or employee	No

I. **ISSUER SPECIFIC REGULATORY DISCLOSURES,** unless specifically mentioned in point no. 9 below:

1. The research analyst(s), SSSIL, associates or relatives do not have any financial interest in the company(ies) covered in this report.
2. The research analyst(s), SSSIL, associates or relatives collectively do not hold more than 1% of the securities of the company(ies) covered in this report as of the end of the month immediately preceding the distribution of the research report.
3. The research analyst(s), SSSIL, associates or relatives did not have any other material conflict of interest at the time of publication of this research report.
4. The research analyst, SSSIL and its associates have not received compensation for investment banking or merchant banking or brokerage services or any other products or services from the company(ies) covered in this report in the past twelve months.
5. The research analyst, SSSIL or its associates have not managed or co-managed a private or public offering of securities for the company(ies) covered in this report in the previous twelve months.
6. SSSIL or its associates have not received compensation or other benefits from the company(ies) covered in this report or from any third party in connection with this research report.
7. The research analyst has not served as an officer, director or employee of the company(ies) covered in this research report.
8. The research analyst and SSSIL have not been engaged in market making activity for the company(ies) covered in this research report.
9. Details of SSSIL, research analyst and its associates pertaining to the companies covered in this research report:

Sr. No.	Particulars	Yes / No.
1	Whether compensation was received from the company(ies) covered in the research report in the past 12 months for investment banking transaction by SSSIL.	No
2	Whether research analyst, SSSIL or its associates and relatives collectively hold more than 1% of the company(ies) covered in the research report.	No
3	Whether compensation has been received by SSSIL or its associates from the company(ies) covered in the research report.	No
4	Whether SSSIL or its affiliates have managed or co-managed a private or public offering of securities for the company(ies) covered in the research report in the previous twelve months.	No
5	Whether research analyst, SSSIL or associates have received compensation for investment banking or merchant banking or brokerage services or any other products or services from the company(ies) covered in the research report in the last twelve months.	No

10. There is no material disciplinary action taken by any regulatory authority that impacts the equity research analysis activities.

STOCK RATINGS

BUY (B): The stock's total return is expected to exceed 15% over the next 12 months.
HOLD (H): The stock's total return is expected to be within -15% to +15% over the next 12 months.
SELL (S): The stock's total return is expected to give negative returns of more than 15% over the next 12 months.
NOT RATED (NR): The analyst has no recommendation on the stock under review.

INDUSTRY VIEWS

ATTRACTIVE (AT): Fundamentals/valuations of the sector are expected to be attractive over the next 12-18 months.
NEUTRAL (NL): Fundamentals/valuations of the sector are expected to neither improve nor deteriorate over the next 12-18 months.
CAUTIOUS (CS): Fundamentals/valuations of the sector are expected to deteriorate over the next 12-18 months.

II. DISCLAIMER

The information and opinions contained herein have been compiled or arrived at based on the information obtained in good faith from sources believed to be reliable. Such information has not been independently verified and no guaranty, representation of warranty, express or implied, is made as to its accuracy completeness or correctness.

This document is for information purposes only. This report is based on information that we consider reliable; we do not represent that it is accurate or complete and one should exercise due caution while acting on it. Description of any company(ies) or its/their securities mentioned herein are not complete and this document is not and should not be construed as an offer or solicitation of an offer to buy or sell any securities or other financial instruments. Past performance is not a guide for future performance, future returns are not guaranteed and a loss of original capital may occur. All opinions, projections and estimates constitute the judgment of the author as on the date of the report and these, plus any other information contained in the report, are subject to change without notice. Prices and availability of financial instruments are also subject to change without notice. This report is intended for distribution to institutional investors.

This report is not directed to or intended for display, downloading, printing, reproducing or for distribution to or use by, any person or entity that is a citizen or resident or located in any locality, state, country or other jurisdiction where such distribution, publication, reproduction, availability or use would be contrary to law or regulation or what would subject to SSSIL or its affiliates to any registration or licensing requirement within such jurisdiction. If this report is inadvertently sent or has reached any individual in such country, especially USA, the same may be ignored and brought to the attention of the sender. Neither this document nor any copy of it may be taken or transmitted into the United States (to U.S. persons), Canada, or Japan or distributed, directly or indirectly, in the United States or Canada or distributed or redistributed in Japan or to any resident thereof. Any unauthorized use, duplication,

redistribution or disclosure of this report including, but not limited to, redistribution by electronic mail, posting of the report on a website or page, and/or providing to a third party a link, is prohibited by law and will result in prosecution. The information contained in the report is intended solely for the recipient and may not be further distributed by the recipient to any third party.

SSSIL generally prohibits its analysts, persons reporting to analysts, and members of their households from maintaining a financial interest in the securities or derivatives of any companies that the analysts cover. Additionally, SSSIL generally prohibits its analysts and persons reporting to analysts from serving as an officer, director, or advisory board member of any companies that they cover. Our salespeople, traders, and other professionals or affiliates may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein. Our proprietary trading and investing businesses may make investment decisions that are inconsistent with the recommendations expressed herein. The views expressed in this research report reflect the personal views of the analyst(s) about the subject securities or issues and no part of the compensation of the research analyst(s) was, is, or will be directly or indirectly related to the specific recommendations and views expressed by research analyst(s) in this report. The compensation of the analyst who prepared this document is determined exclusively by SSSIL; however, compensation may relate to the revenues of the Systematix Group as a whole, of which investment banking, sales and trading are a part. Research analysts and sales persons of SSSIL may provide important inputs to its affiliated company(ies).

Foreign currencies denominated securities, wherever mentioned, are subject to exchange rate fluctuations which could have an adverse effect on their value or price or the income derived from them. In addition, investors in securities such as ADRs, the values of which are influenced by foreign currencies, effectively assume currency risk. SSSIL, its directors, analysts or employees do not take any responsibility, financial or otherwise, of the losses or the damages sustained due to the investments made or any action taken on the basis of this report including but not restricted to fluctuation in the prices of shares and bonds, changes in the currency rates, diminution in the NAVs, reduction in the dividend or income, etc.

SSSIL and its affiliates, officers, directors, and employees subject to the information given in the disclosures may: (a) from time to time, have long or short positions in, and buy or sell, the securities thereof, of company (ies) mentioned herein or (b) be engaged in any other transaction involving such securities and earn brokerage or other compensation (financial interest) or act as a market maker in the financial instruments of the company (ies) discussed herein or act as advisor or lender / borrower to such company (ies) or have other potential material conflict of interest with respect to any recommendation and related information and opinions. The views expressed are those of the analyst and the company may or may not subscribe to the views expressed therein.

SSSIL, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall SSSIL, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. The company accepts no liability whatsoever for the actions of third parties. The report may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the report refers to website material of the company, the company has not reviewed the linked site. Accessing such website or following such link through the report or the website of the company shall be at your own risk and the company shall have no liability arising out of, or in connection with, any such referenced website.

SSSIL will not be liable for any delay or any other interruption which may occur in presenting the data due to any technical glitch to present the data. In no event shall SSSIL be liable for any damages, including without limitation, direct or indirect, special, incidental, or consequential damages, losses or expenses arising in connection with the data presented by SSSIL through this presentation.

SSSIL or any of its other group companies or associates will not be responsible for any decisions taken on the basis of this report. Investors are advised to consult their investment and tax consultants before taking any investment decisions based on this report.

Registration granted by SEBI to SSSIL and certification from NISM to the analyst in no way guarantee performance of SSSIL or to provide any assurance of returns to investors.

SYSTEMATIX GROUP™
Investments Re-defined

EMPOWERING INVESTORS
A SEBI Initiative

Systematix Shares and Stocks (India) Limited:
Registered and Corporate address: The Capital, A-wing, No. 603 – 606, 6th Floor, Plot No. C-70, G Block, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051
Tel no. 022-66198000/40358000 Fax no. 022-66198029/40358029 Email id contactus@systematixgroup.in. Visit us at: www.systematixgroup.in
Details of Compliance officer: Ms Nipa Savla, Compliance officer Tel no. 022-66198092/4035808092 Email id compliance@systematixgroup.in
Details of Email id grievance redressal cell : grievance@systematixgroup.in
Details of Registration : CIN - U65993MH1995PLC268414 | BSE SEBI Reg. No.: INZ000171134 (Member Code: 182) | NSE SEBI Reg. No.: INZ000171134 (Member Code: 11327) | MCX SEBI Reg. No.: INZ000171134 (Member Code: 56625) | NCDEX SEBI Reg. No.: INZ000171134 (Member Code: 1281) | Depository Participant SEBI Reg. No.: IN-DP-480-2020 (DP Id: 12034600) | PMS SEBI Reg. No.: INP000002692 | Research Analyst SEBI Reg. No.: INH200000840 | AMFI : ARN - 64917